TOPIC 3 · ECONOMIC ISSUES

Sources: Westpac–Melbourne Institute via Reuters, investingLive
Wednesday 11 November 2026

Consumer mood sinks to a four-year low

The Westpac–Melbourne Institute index of consumer sentiment fell **2.7% to 78.2** in November, its third monthly fall in a row. High petrol prices, **4.3% inflation** and the RBA's fifth rate rise this year are weighing on households.

WHAT HAPPENED

- The index fell from **80.4 to 78.2**, its lowest since late 2022, and is down almost **25%** on a year ago.
- Expectations for the economy over the next 12 months fell **10.2%**. The 'good time to buy a major household item' measure fell **3.7%**.
- **Mortgage holders'** sentiment hit a record low (data back to 1994). More than **70%** of consumers expect mortgage rates to rise further.
- Pressures cited: petrol near **A$2.40/litre**, inflation 4.3% and a cash rate of **4.85%**, an 18-year high.
- Westpac expects the RBA to **pause** at its 7–8 December meeting.

Consumer sentiment: an index of how households feel about finances and the economy; below 100 means pessimists outnumber optimists
Multiplier: an initial cut in spending leads to further falls in income and spending

KEY NUMBERS

78.2
Consumer sentiment, November (prev. 80.4)

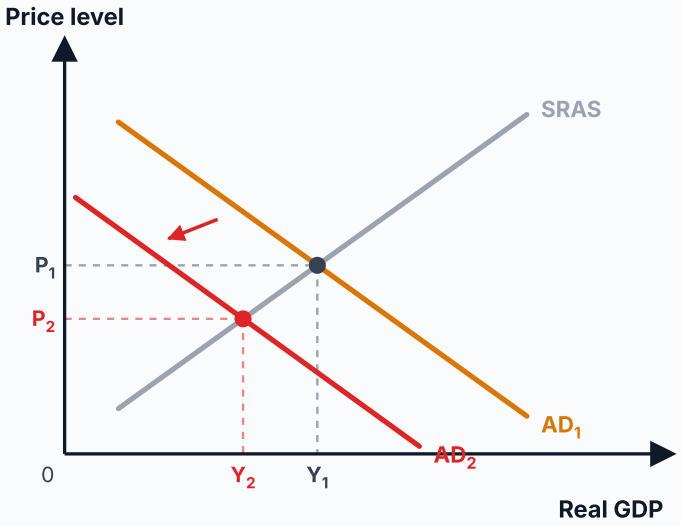
−2.7%
Monthly fall, the third in a row

~25%
Lower than a year earlier

70%+
Expect mortgage rates to rise further

DIAGRAM

Gloomy households cut spending, and AD shifts left



Consumption is about half of aggregate demand. When households feel worse off and expect higher mortgage repayments, they **save more and spend less**.

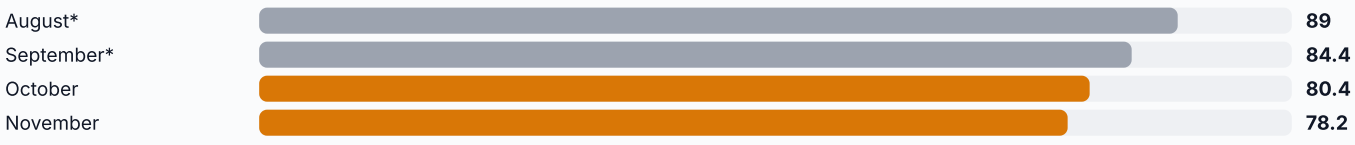
AD shifts from **AD_1 to AD_2**: real output falls from **Y_1 to Y_2** and price pressure eases from **P_1 to P_2**.

Through the **multiplier**, the first cut in spending lowers other people's incomes, so they spend less too.

Exam angle: falling confidence is a sign the **transmission mechanism** is working, but it also raises the risk of slower growth and higher unemployment.

BAR CHART

Consumer sentiment index, 2026 (100 = optimists equal pessimists)



*August and September are derived from the reported monthly falls (−5.2% in Sep, −4.7% in Oct) and are approximate. Bars scaled to 100.

SYLLABUS LINK

Topic 3 – economic growth: consumption and aggregate demand. Topic 4 – the transmission mechanism of monetary policy.

TRY THIS

Explain how a fall in consumer confidence could affect economic growth and unemployment in Australia.
(4 MARKS)

Reuters via Investing.com – Australian consumer sentiment hits four-year low: https://www.investing.com/news/economy-news/australian-consumer-sentiment-hits-fouryear-low-in-november-as-rates-rise-5013825
investingLive – Australian consumer sentiment sinks to four-year low: https://investinglive.com/news/australian-consumer-sentiment-sinks-to-four-year-low-as-rates-and-living-costs-bite/

Diagrams are illustrative, not to scale